

		this nonpublic information would provide competitors insight into nonpublic methodologies, contractual arrangements, and business strategy. When disclosure of private and confidential financial information relating to the business operations of a party would interfere with that party's ability to compete in the marketplace, a sealing order may be appropriate. (See <i>Universal City Studios, Inc. v. Superior Court</i> (2003) 110 Cal.App.4th 1273, 1286.) Additionally, "[c]ourts have found that the protecting of trade secrets is an interest that can support sealing records in a civil proceeding." (<i>McGuan v. Endovascular Technologies, Inc.</i> (2010) 182 Cal.App.4th 974, 988.) Optum's requested sealing is narrowly tailored to those exhibits that contain proprietary and sensitive business information and there is no public interest in this information that overrides the parties' interests. Thus, the Motion as to Exhibits M, N, O, P, Q, 13, 15, 17, and 18 to the Wood Declarations and Exhibit G to the Poth Declaration is GRANTED. Moving party to give notice.
107	Szeto vs. Woo 19-01087212	Motion for Attorney Fees Defendants/cross-complainants Kent Salveson and EQD LLC ("EQD") move for an order granting them an award of attorney's fees against plaintiff/cross-defendant Gene Szeto, jointly and severally with his counsel Shun C. Chen, in the sum of \$30,247.80 in conjunction with their opposition to Szeto's anti-SLAPP motion and \$55,000.00 in conjunction with Szeto's unsuccessful appeal of the denial of the anti-SLAPP motion. "If the court finds that a special motion to strike is frivolous or is solely intended to cause unnecessary delay, the court shall award costs and reasonable attorney's fees to a plaintiff prevailing on the motion,

pursuant to Section 128.5.” (Code Civ. Proc., § 425.16(c)(1).) Attorney’s fees under the anti-SLAPP statute and section 128.5 may be assessed against a party and the party’s attorney or both where there is a determination that the anti-SLAPP motion is frivolous, meaning totally and completely without merit. (Moore v. Shaw (2004) 116 Cal.App.4th 182, 199.) Totally and completely without merit means that “any reasonable attorney would agree such motion is totally devoid of merit.” (Ibid., emphasis in original.)

As applicable here, “[t]he trial court's authority to award fees and costs under section 425.16, subdivision (c), includes authority to award fees incurred in responding to an appeal of an order granting or denying a special motion to strike, or of an order awarding attorney fees in connection with such motion. (Carpenter v. Jack in the Box Corp. (2007) 151 Cal.App.4th 454, 461, citing Wilkerson v. Sullivan (2002) 99 Cal.App.4th 443, 448.)

Szeto’s request for judicial notice is DENIED as irrelevant to the disposition of this motion.

Szeto argues this motion was not timely filed under Cal. Rules of Court, rule 8.278(c)(1) because it was not filed within 40 days after issuance of the remittitur. Rule 8.278 provides that a party claiming costs awarded by a reviewing court must serve and file a verified memorandum of costs under rule 3.1700 within 40 days after issuance of the remittitur. This rule relates to a claim for costs awarded by a reviewing court and is not applicable here because the Court of Appeal ordered that Szeto, Salveson, and EQD shall each bear their own costs and, moreover, recoverable costs do not include attorney’s fees. (Baer v. Tedder (2025) 115 Cal.App.5th 1139, 1150.)

The time limits for filing a motion for attorney fees under Code of Civil Procedure section 425.16(c) are imposed by rules 3.1702 and 8.104 and “do not commence to run until entry of judgment at the

conclusion of the litigation.” (Carpenter v. Jack in the Box Corp. (2007) 151 Cal.App.4th 454, 468.) Thus, Szeto’s argument that this motion was untimely filed fails.

Next, Szeto contends that the instant motion was not timely served. However, Szeto’s arguments relate to a February 24, 2026 hearing date and are clearly related to the prior motion for fees. Thus, this argument also fails. In the supporting declaration filed with Szeto’s opposition, counsel for Szeto asserts that the moving papers were never served. However, Szeto’s opposition does not raise any arguments regarding lack of service. Szeto’s responding memorandum must contain all “evidence and arguments relied on[.]” (Cal. Rules of Court, rule 3.1113(b).) Because this argument is not raised in the opposition memorandum, it is disregarded.

Salveson and EDQ point to the Court’s July 10, 2025 Minute Order granting defendant/cross-complainant Sung Yi’s motion for attorney’s fees, in which the Court found that Szeto’s special motion to strike Yi’s cross-complaint was frivolous. Szeto’s special motion to strike against Yi’s cross-complaint for declaratory relief raised virtually identical arguments as Szeto’s special motion to strike against Salveson’s and EDQ’s declaratory relief cause of action. For the same reasons set forth in that order, the Court finds Szeto’s special motion to strike as Salveson’s and EQD’s declaratory relief cause of action was frivolous.

As to Szeto’s anti-SLAPP motion against Salveson’s and EDQ’s reimbursement cause of action, as the Court previously held, ordinarily, a cross-complaint will not be considered a SLAPP suit because a cross-complaint usually arises from the underlying dispute alleged in the complaint rather than from the litigation process. (Third Laguna Hills Mutual v. Joslin (2020) 49 Cal.App.5th 366, 372.)

Further, Szeto argued that the reimbursement cause of action arise out of his constitutionally protected right of

	petition because it was filed in retaliation for the filing of his own FAC. However, the Court found that this cause of action does not arise out of Szeto’s act of filing the FAC, as the cause of action merely alleged that Salveson and EDQ would be entitled to reimbursement if Szeto is granted relief because otherwise he would be unjustly enriched. The Court found that Szeto’s filing of the FAC is not what would necessitate the requested relief. The Court of Appeal affirmed the Court’s ruling, holding that the reimbursement cause of action arises out of the parties’ dispute concerning ownership of the properties and whether Salveson or EQD have any obligations with regard to Szeto’s judgment against Woo, i.e., out of the underlying dispute and not Szeto’s act of filing his FAC. Most notably, Szeto’s arguments against the reimbursement cause of action were the same as those against the declaratory relief cause of action. Szeto set forth no persuasive argument in his motion that the cross-complaint was filed in response to his filing of the FAC, in contravention of his right of petition. The Court finds that any reasonable attorney would agree that Szeto’s arguments regarding retaliation and against Salveson and EQD were devoid of any merit. In light of the above, the Court finds that Szeto’s special motion to strike Salveson’s and EQD’s cross-complaint was frivolous and they are entitled to attorney’s fees under section 425.16(c). Reasonable Fees The court considers the rate prevailing in the community for similar work and uses the lodestar method by calculating the number of hours reasonably expended multiplied by the reasonable hourly rate; the lodestar rate may be adjusted based on factors specific to the case. (Pasternack v. McCullough (2021) 65 Cal.App.5th 1050, 1055.) Mr. Balonick has tried more than 460 cases to verdict from New York to California. His hourly rate of \$500.
--	---

	He spent a total of 91.66 hours researching, reviewing documents, and drafting the opposition to Szeto’s anti-SLAPP motion and is requested \$30,247.80, which reflects roughly two-thirds of those hours at \$500/hour. He spent a total of 193.68 hours addressing Szeto’s appeal and is requesting \$56,728.00 for the appeal. Szeto argues that the amount requested should be significantly reduced because the time spent on the second cause of action is not recoverable. However, Mr. Balonick has already discounted the requested fees to reflect that Salveson and EDQ did not prevail on the second cause of action. Szeto further argues that the first and third causes of action share the same circumstances such that less time should have been required to address them and the hourly rate of \$500 is grossly inflated. The Court finds the hourly rate of \$500 is reasonable in light of Mr. Balonick’s experience and the prevailing rate in the community for similar work. The Court finds the hours spent opposing the anti-SLAPP motion and Szeto’s appeal, however, to be excessive. The Court will reduce the number of hours spent on the opposition to 30 hours and award fees for roughly two-thirds of that time, and reduce the number of hours spent opposing the appeal to 70 hours and award fees for roughly two-thirds of that time as well, for a total award of \$33,333.00. In light of all the above, Salveson’s and EQD’s motion for attorney fees is GRANTED. The Court awards a total fee award of \$33,333.00. Plaintiff Gene Szeto and his attorney of record, Shun C. Chen of Law Offices of Shun C. Chen are ordered, jointly and severally, to pay to Salveson and EQD the amount of \$33,333.00 within 60 days of this order. Moving party to give notice
--	---